



Analysis of Vermilion Economic Development Beef Producers Survey

Produced by Fulcrum Sales & Marketing, LLC

Submitted November 17, 2021 by Denise F. Benton, PhD and Reece Theriot



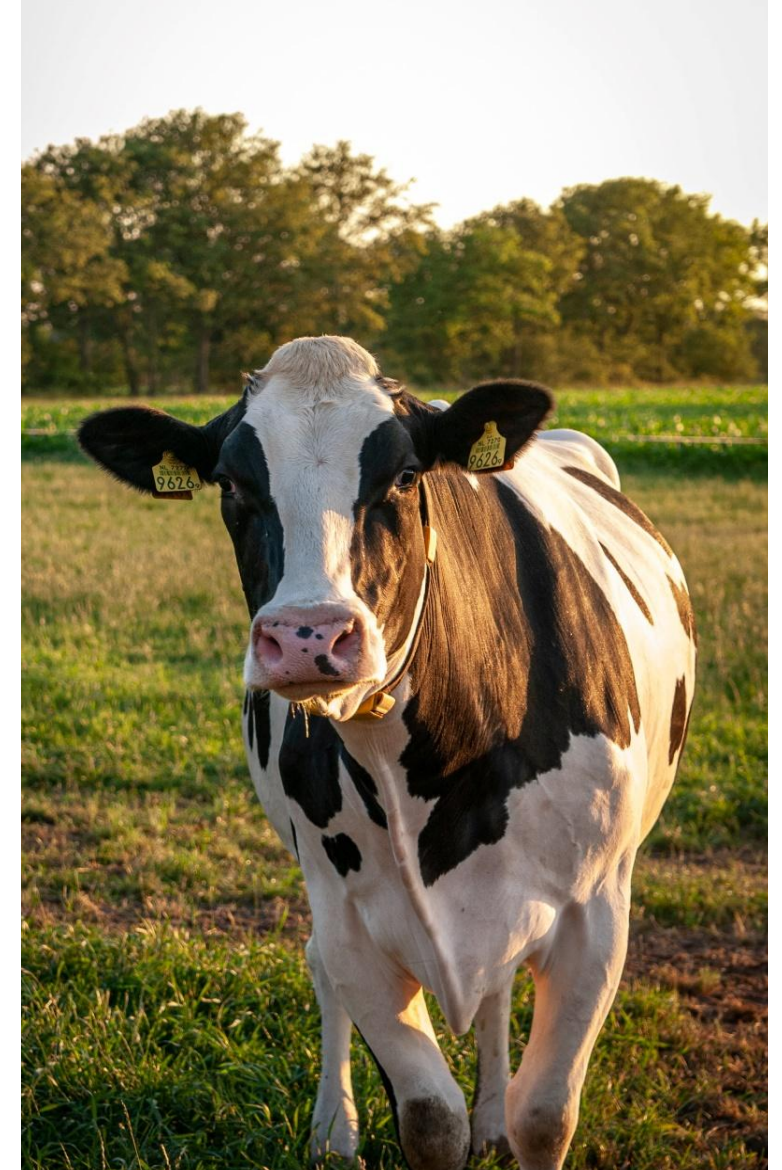
A photograph of two brown cows in a field. The cow on the left is looking towards the camera, while the cow on the right is looking down. They are both wearing black halter collars. The background is a blurred green field with trees.

Introduction

The purpose of this project was to conduct an in-depth analysis of the data collected in spring 2020 using the Vermilion Economic Development Beef Producers Survey. The analysis was done from the perspective of preserving agricultural jobs and identifying potential opportunities to expand the cattle industry in Vermilion Parish. The data was collected through interviews with cattle farmers who provided rich information about their economic activity outside Vermilion Parish along with their opinions on services needed in Vermilion Parish and important issues in their cattle businesses. These three general areas formed the basis of the analysis.

Key Findings

- Small farms made up 85% of the respondents (122 out of 143). These are farms having less than 200 head of cattle and less than 700 acres of land.
- About 90% of the respondents are heavily involved in calf sales with 87% (124 out of 143) having calf sales account for 50% or more of their annual business.
- Replacement female sales is a distant second in terms of lines of business. Just over 40% have replacement female sales as a line of business, but only 13% (19 out of 143) show female replacement sales accounting for 50% or more of annual business.
- Bull purchases are the most frequently made purchase outside Vermilion Parish with more than half of respondents (54%) going out-of-parish for bulls. Large and medium cattle farms tend to go out-of-parish for bulls at higher rates.



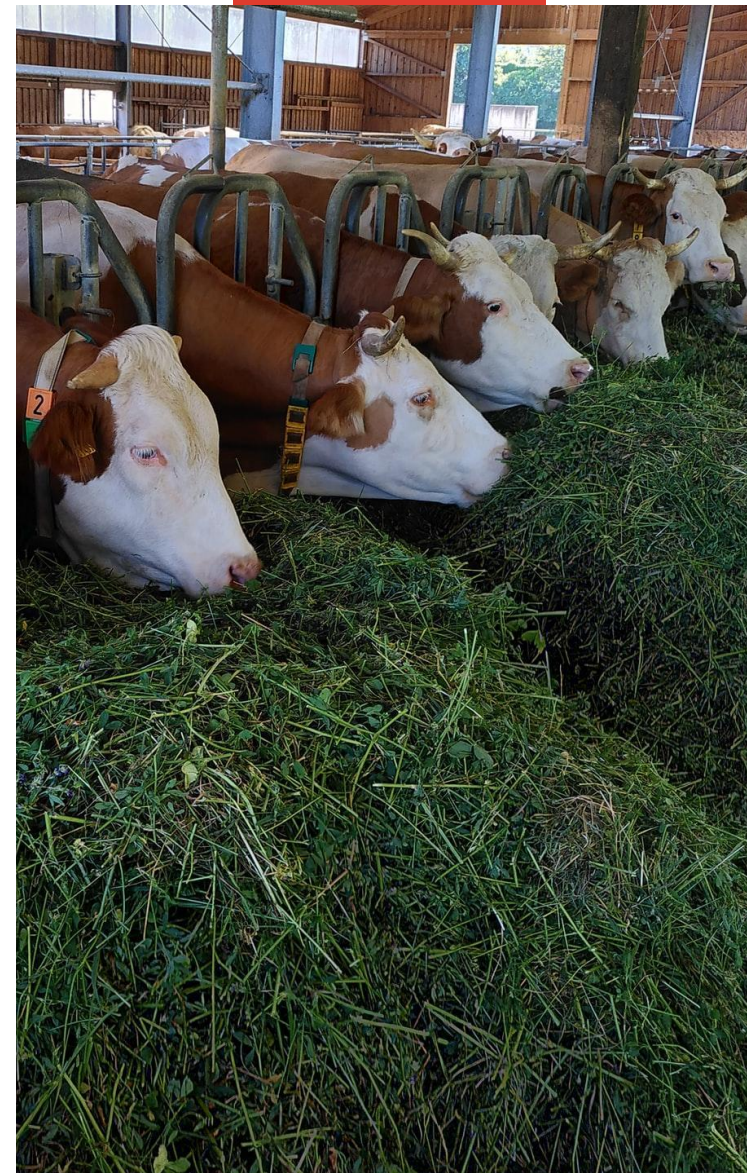
Key Findings(Continued)

- Texas is a frequently cited location for bull purchases (26 out of 90 locations reported).
- Roughly a third of respondents seek slaughtering and processing services out-of-parish. Of those reporting where those services are obtained, 60% go to Acadia Parish, with Elliott's Slaughter House being reported numerous time
- Of the locations reported for female replacement purchases, most (31 of 40) were at various locations around the state. Texas was listed just six times.
- The principal reasons for going out-of-parish for services and products were existing relationships with vendors and better quality elsewhere. These reasons applied to all three of the top areas for out-of-parish spending, namely bull purchases, slaughtering and processing, and female replacement purchases.



Key Findings(Continued)

- The most important services Vermilion Parish should pursue, according to respondents, is group sales. This was supported by a large majority of respondents (84%) and was the most popular service across all farm size and lines of business groups.
- Other services received significant support: Vermilion branded beef (76%), slaughterhouse (72%), grazing weaned calves (69%), trucking and shipping services (63%), and feedlots (55%).
- A grouping of respondents having various lines of business (or 50% or less of calf sales) showed a high level of interest in feedlots and artificial insemination services (63% and 37%, respectively), which was different from the overall trends in feedback on services Vermilion Parish should pursue.
- The most important issues regarding respondents' cattle businesses were low market prices (43%), pasture/land availability at affordable prices (40%), and flooding and drainage (15%). Interestingly, many respondents complained of sugarcane farmers paying much higher prices for leased land.





Opportunitie

- S** Offer and promote opportunities to improve the quality of bulls and replacement females to those cattle farmers whose percentages of business are high in these areas.
- Help cattle farmers who specialize in replacement female sales to network and establish relationships with larger cattle farms whose primary business is calf sales. The goal is to keep more of the replacement female purchases within the parish. Emphasize the importance of establishing relationships with their customers.
 - Estimate the market demand for bulls and develop more bull suppliers who can provide quality bulls to parish cattle farmers. Emphasize the importance of establishing relationships with their customers.
 - Identify the slaughtering and processing businesses in Vermilion Parish and assess their capacity. Estimate the demand for these services and determine if there is a need for additional capacity. Disseminate information on the business with available capacity and/or interest in expanding to parish cattle farmers.

Opportunities (Continued)

- S** Assist the slaughtering and processing businesses with improving quality and developing relationships with potential customers.
- Establish a group sales program for Vermilion Parish cattle farmers. Research best practices for group sales to create a framework to launch such an endeavor with minimal cost and effort. A strategic plan for Vermilion branded beef can be a part of this program.
 - Identify trucking and shipping services available in Vermilion Parish, and make this information available to cattle farmers. Recruit additional service providers to come into Vermilion Parish. Work with large farms to assess and understand the demand for these services, and look for ways to reduce these costs for smaller cattle farmers.
 - Assess the availability of grazing areas in Vermilion Parish. Using the survey data, an estimate of the demand for land can be determined. Establish a way to connect those in need of land to available pastures. Developing the service for grazing weaned calves can be incorporated into this plan.





Opportunities (Continued)

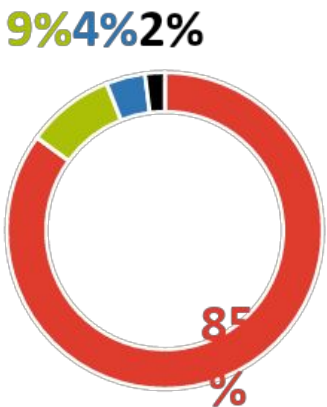
- S** Find channels for artificial insemination services and recruit specialists to cover Vermilion Parish. Compile this information and disseminate to cattle farmers in the parish.
- To assist with low market prices for cattle, research other opportunities for calf sales.
 - Connect farmers who have drainage issues to government agencies or other specialists which can assist in remediation.
 - Offer assistance and/or provide information to cattle farmers who want to develop a hurricane evacuation plan. Create a generic hurricane evacuation plan and make it available to cattle farmers.

Grouping by Farm Size

Data on respondents' size of farm in acres and total head of cattle was collected.

Groupings of small, medium, and large farms were created, with three respondents not giving enough information to be assigned to a farm size group.

Groups by Farm Size



- Small Farms (122)
- Medium Farms (13)
- Large Farms (5)
- Not Clustered (3)

Acres by Farm Size

Farm Size	Minimum	Median	Average	Maximum	Percent of Total Acreage
Small Farms	15	150	185	700	46%
Medium Farms	550	950	1,178	2,500	31%
Large Farms	1,200	1,500	2,140	3,500	22%

Head Count by Farm Size

Farm Size	Minimum	Median	Average	Maximum	Percent of Head of Cattle
Small Farms	8	50	60	195	61%
Medium Farms	100	190	205	375	21%
Large Farms	400	500	538	750	18%

Grouping by Line of Business

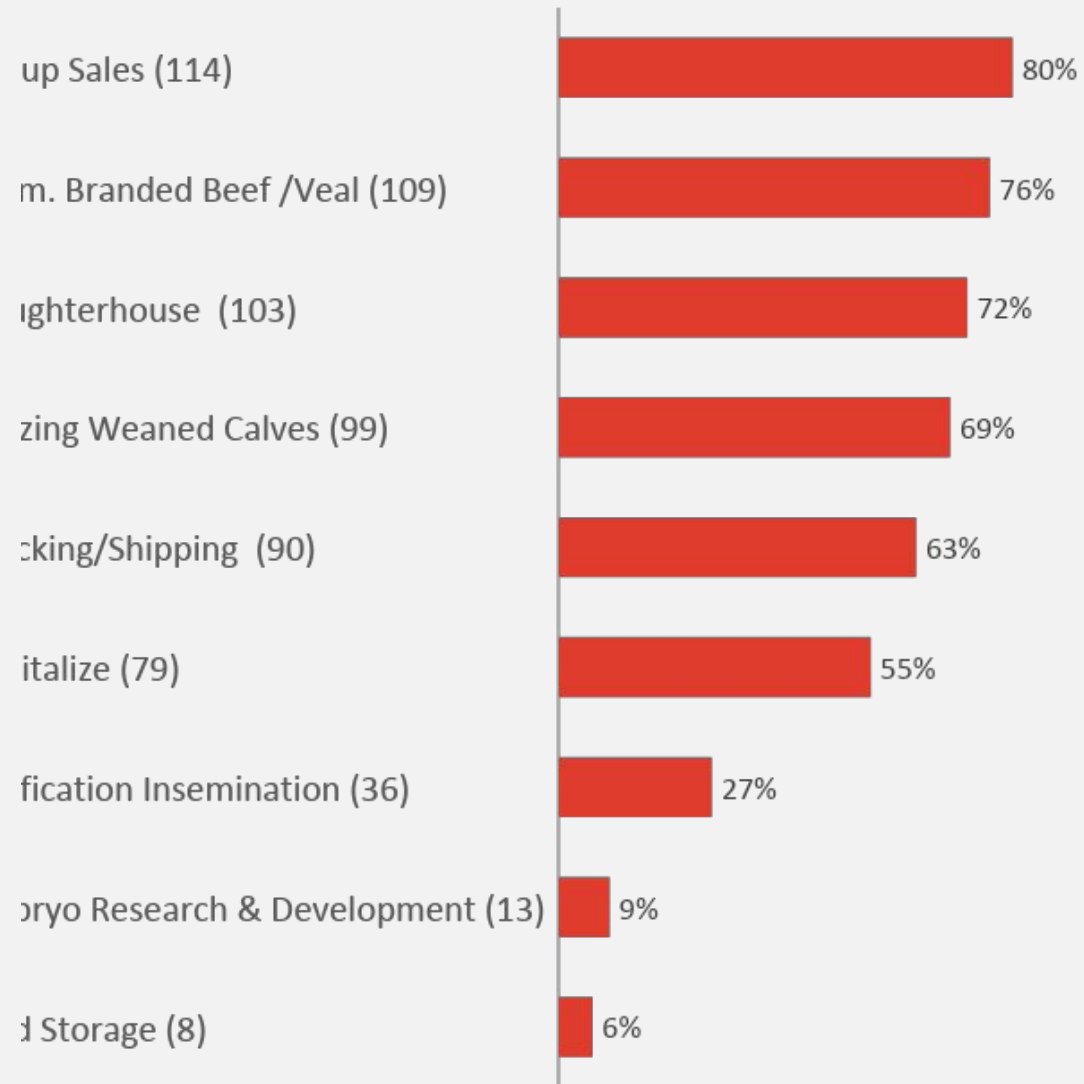
Data on respondents' primary line of business was collected. Respondents were asked to give a percentage of annual business for areas typical of cattle farming. The table presents the percentage of respondents who engage at some level in each of the lines of business, regardless of the amount of annual business reported.

Line of Business	Number of Farms	Percent out of 143 Farms
Calf Sales	127	89%
Replacement Female Sales	58	41%
Cull Cow Sales	24	17%
Bull Sales	11	8%
Other	5	3%
Processed Beef Sales (Direct to Customer)	4	3%
Processed Beef Sales (Wholesale)	3	2%
Processed Beef Sales (Retail)	1	1%
Embryo and Semen Sales	1	1%

Reason Score for Services Purchased Outside of Vermilion Parish

Number of respondents	Percent of Total	Type of Purchase	Too Expensive Here	Service not available in Vermilion Parish	Quality is better elsewhere	Existing relationships with the vendors
76	55%	Bull purchase	1.45	5.03	25.20	26.48
17	12%	Stocker purchase	0.45	1.37	1.87	3.53
11	8%	Feed purchase	0.95	1.08	0.95	1.73
6	4%	Supplies purchase	0.45	0.87	1.28	1.82
33	23%	Replacement female purchase	0.70	3.53	6.70	6.15
45	31%	Slaughtering / processing	2.00	5.12	11.00	10.28

Most Important Service for Vermillion Parish to Pursue



Respondents were asked to select the five most important services Vermillion Parish should pursue to remain a leader in the cattle industry in Louisiana. Answers reveal support for numerous services that have the potential to be highly utilized within Vermillion Parish.

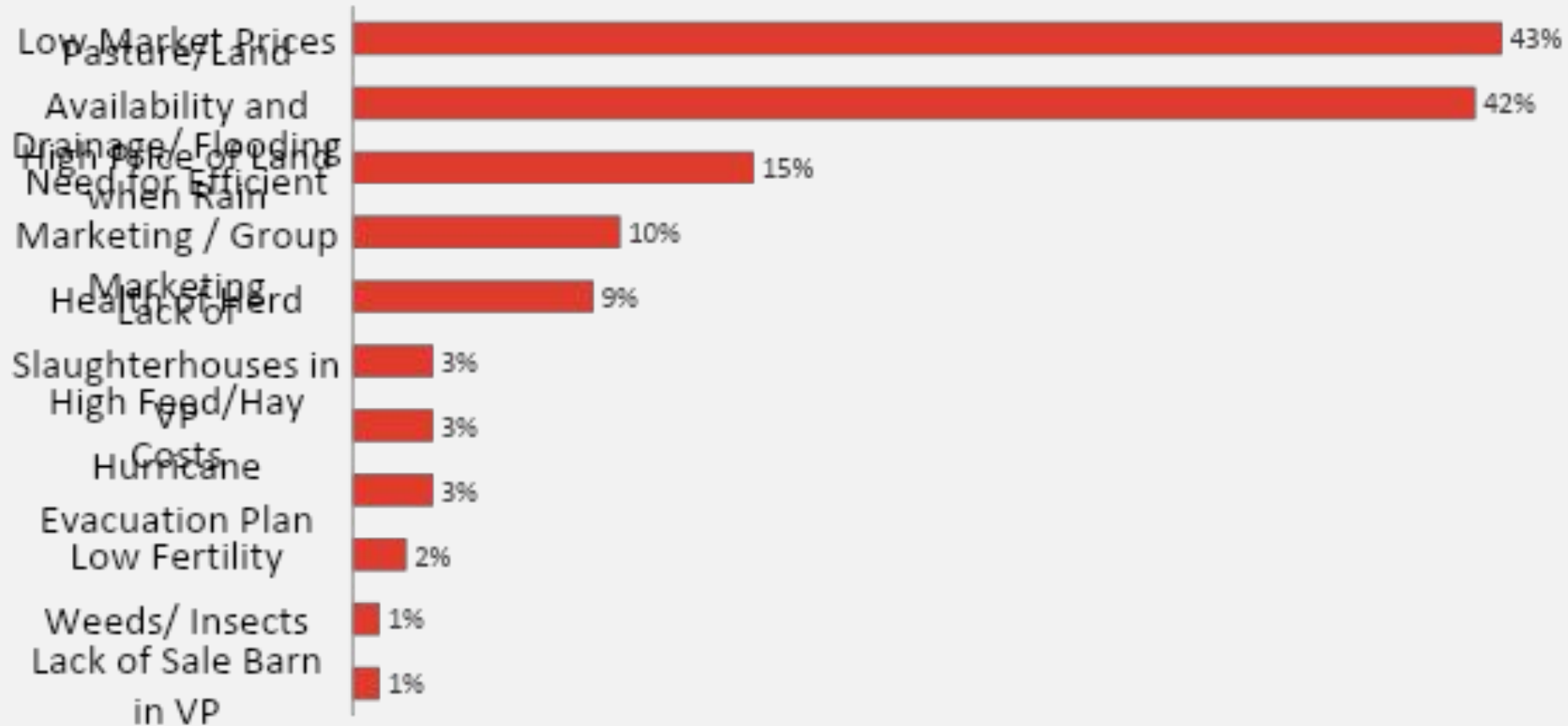


Most Important Services by Farm Size Groupings

Medium and small farms have patterns of preferences which are similar to the overall results.

Services to Pursue	Small Farms	Medium Farms	Large Farms
Group Sales	95	11	5
Vermillion Branded Beef or Veal	94	10	3
Slaughterhouse	89	9	4
Grazing Weaned Calves	86	9	3
Trucking/Shipping Services	76	9	4
Feed/Feedlots	69	7	3
Artificial Insemination Services	33	3	2
Embryo Research & Development	12	1	
Cold Storage	7	1	

Most Important Issue to Respondents' Cattle Business



*Note that most respondents gave two or more issues rather than a single issue, but this additional information is incorporated into the analysis.

Conclusion

The ultimate goal of this research project is to preserve agricultural jobs and identify potential opportunities to expand the cattle industry in Vermilion Parish. Using the results of this data analysis, there is tremendous opportunity to implement targeted, cost-effective initiatives which will have a strong impact on the preservation and growth of the cattle industry in Vermilion Parish.

